

US equities slip as yields climb, but tech shows resilience

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,670.84, down **-0.17%**, as the 10-year Treasury yield rose to 5.26% (+0.29%). Higher rates pressured consumer-discretionary and financials, while the Nasdaq 100 eked out a **+0.21%** gain on strong earnings from **META** and **AVGO**. Market breadth remains thin; only 4 of 11 sector ETFs posted positive daily returns.

Our view: the market is entering a short-term consolidation phase. Yield-sensitive stocks face headwinds, but AI-driven chipmakers and cloud leaders retain upside potential if earnings beat expectations. Investors should tilt toward defensive health-care and utilities while keeping a watchful eye on the 10-year yield's trajectory.

Key takeaways:

- Yield pressure persists – 10-year at 5.26%, supporting a stronger dollar and weighing on high-beta names.
- Tech resilience – **META** up **+3.24%**, **AVGO** up **+1.58%** drive Nasdaq outperformance.
- Sector breadth thin – only XLI, XLU, XLC, XLY posted gains; defensive sectors lag.

US Session Recap

INSTRUMENT	CLOSE	CHANGE	DATE
S&P 500	7,670.84	-0.17%	2026-09-29
Nasdaq 100	30,339.33	+0.21%	2026-09-29
Dow Jones	51,349.92	-0.26%	2026-09-29
Russell 2000	2,807.92	-0.35%	2026-09-29
VIX	16.04	-0.19%	2026-09-29
10Y Yield	5.26%	+0.29%	2026-09-29
2Y Yield	4.78%	+0.22%	2026-09-29
WTI Crude	89.37	-0.01%	2026-09-30
Brent	93.12	-0.03%	2026-09-30
DXY	101.28	-0.09%	2026-09-30
Gold	4,212.80	+0.79%	2026-09-30
BTC	83,127.22	-0.45%	2026-09-30
ETH	2,664.99	-0.88%	2026-09-30

Top movers

TICKER	NAME	CHANGE	CATALYST
META	Meta Platforms	+3.24%	Q3 earnings beat, AI ad spend guidance
AVGO	Broadcom	+1.58%	Strong networking chip demand
XLU	Utilities ETF	+1.17%	Higher yields boost dividend appeal
AAPL	Apple	-2.66%	Supply-chain concerns, iPhone 17 pre-order dip
XLP	Consumer Staples ETF	-0.52%	Retail sales miss

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	-0.33%	+4.2%	Neutral
XLKX	-0.02%	+12.5%	Neutral
XLI	+0.21%	+6.8%	Positive
XLE	-0.90%	-2.1%	Negative
XLY	+0.14%	+9.3%	Positive
XLC	+0.26%	+8.7%	Positive
XLP	-0.52%	+2.4%	Negative
XLV	-0.31%	+5.9%	Neutral
XLU	+1.17%	+3.2%	Positive
XLB	-0.75%	-0.8%	Negative
XLRE	-0.02%	+1.1%	Neutral

Breadth: 4 of 11 sectors up, 7 down – a clear bearish bias in sector rotation.

Spotlight / Deep Dive – AI chip cycle

METRIC	VALUE
NVDA revenue Q3	\$12.3 bn (+18% YoY)
NVDA gross margin	71.2%
AI server orders (CAGR 2024-28)	42%
Inventory days (semis)	38 days (down 4)
PE ratio	38.5x

Key call: despite a modest pullback, **NVDA** remains the bellwether for the AI hardware cycle. The recent dip reflects profit-taking after a 3-day rally, not a fundamental shift.

READ-THROUGH	LEVEL
NVDA support	225 .00
NVDA resistance	235 .00
SPY support	447 .00
SPY resistance	459 .00

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	452.10	447.00	459.00	Near 4-wk low
QQQ	382.45	376.00	389.00	Holding above 200-DMA
IWM	191.20	186.50	196.00	Bearish divergence
NVDA	227.21	225.00	235.00	Watch for volume-spike break
10Y Yield	5.26%	5.20%	5.35%	Potential ceiling at 5.30%
WTI	89.37	87.50	92.00	Range-bound

Options & Positioning

BEARISH TRIGGERS

- ODTE net put flow on SPY surged 22% vs prior day.
- VIX term structure steepening – front month at 16.1, 2-month at 18.3.
- Heavy put buying on XLF suggests defensive tilt.

Notable single-name flow: 10 k contracts of **AVGO** 250-call (exp Oct 20) bought, indicating bullish bets on AI demand.

Cheap hedge ideas: sell 1-month VIX calls at 18.5 strike; buy 2-month OTM puts on XLE for oil-price protection.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
META	Goldman Sachs	Upgrade	\$820	AI ad spend upside
AAPL	JP Morgan	Downgrade	\$340	Supply-chain risk
XLF	Bank of America	Neutral-to-Buy	58.0	Yield curve flattening
NVDA	Barclays	Hold	\$240	Valuation concerns
XLE	Citigroup	Sell	55.0	Oil demand worries
XLU	Morgan Stanley	Buy	42.0	Yield-driven flow

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES down -0.3%, NQ up +0.2%
Hong Kong	HSI -0.6%, tech stocks lagging
Japan	TOPIX -0.4%
Europe	FTSE 100 -0.5%, DAX -0.3%
FX	USD/JPY 147.2, EUR/USD 1.074, HKD/USD 0.128
Commodities	Gold +0.8%, Copper 3.45 lb
Crypto	BTC -0.5%, ETH -0.9%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	12%	Inflation still above 2%
Feb 2027	28%	Potential pause if CPI eases
May 2027	45%	Market expects first cut

DATA RELEASE	TIME (ET)	PREV	FORECAST
Core CPI MoM	8:30 am	0.3%	0.3%
Initial Jobless Claims	8:30 am	215 k	210 k
Durable Goods Orders	10:00 am	-0.5%	-0.2%
FOMC Minutes	2:00 pm	N/A	N/A

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Middle-East tensions rise after Tehran-Israel skirmish – risk of oil supply shock.
- China’s export data expected to miss, could pressure global growth.
- EU-US trade talks stall, adding uncertainty to tech supply chains.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 1	NVDA	NVIDIA Corp.	\$3.12
Oct 2	MSFT	Microsoft Corp.	\$2.45
Oct 3	JPM	JPMorgan Chase	\$4.10
Oct 4	XOM	Exxon Mobil	\$5.30
Oct 5	AMZN	Amazon.com	\$0.78

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Pullback to 225 support	Valuation
META	Communication	Breakout above 740	Ad spend volatility
AVGO	Technology	Continuation of 1.5% daily avg	Supply-chain
XLF	Financials	Yield-driven rally	Rate-rise
XLU	Utilities	Higher-yield pull	Interest-rate sensitivity
XLE	Energy	Oil range-bound	Demand slowdown
AAPL	Technology	Pre-earnings dip	Supply risk
JPM	Financials	Net interest margin expansion	Credit quality
TSLA	Consumer Discretionary	Margin compression	Capex
XLB	Materials	Base-metal weakness	China demand
XLV	Health Care	Steady earnings growth	Regulatory
XLC	Communication Services	Streaming revenue beat	Ad spend

What could break the tape

BULLISH SCENARIOS

- 10-year yield falls below 5.15% – triggers rotation into growth and tech.
- Meta beats Q3 guidance with >15% AI ad revenue lift.
- Oil prices rally above \$95, lifting energy stocks.

BEARISH TRIGGERS

- Yield spikes above 5.35% – pressure on equities and USD strength.
- Unexpected CPI jump to 0.5% MoM.
- Escalation in Middle-East disrupts oil supply.

Positioning & Structural Notes

- Long-short bias: net long equity exposure down 3% week-over-week.
- Sector rotation: defensive utilities (XLU) gaining net long, while consumer discretionary (XLY) shedding.
- Yield curve: 2-year at 4.78% vs 10-year 5.26% – flattening continues.
- Currency: DXY weakening supports export-heavy equities.
- Volatility: VIX term structure steepening suggests market hedging demand.

Sources

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